

The complaint

Mrs S is unhappy NATIONAL WESTMINSTER BANK PUBLIC LIMITED COMPANY ("NatWest") hasn't offered her a refund after she complained about being the victim of a scam.

What happened

Mrs S saw a designer bag being sold on various online marketplaces. Mrs S reached out to the seller of the bag and a price of £505 was agreed. Before making the payment, Mrs S enquired about the condition of the bag. Mrs S was sent a video of the bag and the seller confirmed it was "slightly tarnished" but was otherwise in good condition. Mrs S made the requested payment via bank transfer, outside of the marketplace platform, in March 2026.

When the bag arrived, Mrs S said it was poorly packaged, the zip was broken and some of the metallic coating on the zip had worn away. Mrs S reached out to the seller to discuss this and to ask for a refund. However, the seller refused to provide Mrs S with a refund and eventually blocked all contact.

As Mrs S was unable to resolve the dispute with the seller directly, she contacted NatWest to say she'd been the victim of a scam and to ask for a refund of the amount she'd paid.

NatWest didn't agree to offer Mrs S a refund. It said it didn't think she'd been the victim of a scam at all. It thought her circumstances amounted to a private civil dispute between her and the seller of the bag, which was ultimately about the quality / condition of the bag purchased.

Mrs S disagreed. She said the seller had deliberately misrepresented the condition of the bag and tricked her into making payment via bank transfer to ensure she had no recourse if anything went wrong. She also said NatWest had issued its final response letter within 24 hours of her raising her complaint and before it had asked for any evidence. Mrs S said this demonstrated that a thorough investigation did not take place.

Mrs S brought her complaint to this service and one of our investigators looked into things.

The investigator didn't uphold the complaint. They agreed this was most likely a civil dispute between Mrs S and the seller of the bag, rather than a scam. The investigator pointed out that Mrs S had received the designer bag she had paid for. So, it was now difficult to say Mrs S had been deceived by the seller or that NatWest had done anything wrong in handling her claim.

Unhappy with this outcome, Mrs S asked for her case to be reviewed by an ombudsman. So, the case has been passed to me to decide.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and

reasonable in the circumstances of this complaint.

In doing so, I'm very aware that I've summarised this complaint briefly, in less detail than has been provided, and in my own words. No discourtesy is intended by this. Instead, I've focussed on what I think is the heart of the matter here. If there's something I've not mentioned, it isn't because I've ignored it. I haven't. I'm satisfied I don't need to comment on every individual point or argument to be able to reach what I think is the right outcome. Our rules allow me to do this and this simply reflects the informal nature of our service as a free alternative to the courts.

From the outset, it is important for Mrs S to note that I am not deciding a dispute between her and the seller of the bag - I don't have the power to look into a complaint about the seller. My role is limited to deciding the dispute between Mrs S and NatWest. So, in determining this complaint, I need to decide whether NatWest acted fairly when concluding that Mrs Ss' circumstances amount to a civil dispute and not a scam. And, having carefully considered all of the evidence provided to me, I think NatWest has acted fairly and I won't be upholding this complaint. I'll explain why in more detail below.

The Faster Payments Scheme ("FPS") and the CHAPS reimbursement rules

The Payment Systems Regulator introduced the FPS rules on 7 October 2024 to reimburse consumers who are the victims of APP scams in certain circumstances. However, the rules only apply where the customer has been the victim of an APP scam, which the rules define as:

"Where a person uses a fraudulent or dishonest act or course of conduct to manipulate, deceive or persuade a Consumer into transferring funds from the Consumer's Relevant account to a Relevant account not controlled by the Consumer, where:

- The recipient is not who the Consumer intended to pay, or
- The payment is not for the purpose the Consumer intended"

Private civil disputes are not covered by the rules. The term private civil dispute is defined in the rules as:

"A dispute between a Consumer and payee which is a private matter between them for resolution in the civil courts, rather than involving criminal fraud or dishonesty."

The Payment Systems Regulator in its published policy statement PS23/3 gives further guidance:

"2.6 Civil disputes do not meet our definition of an APP fraud as the customer has not been deceived [...] The law protects consumer rights when purchasing goods and services, including through the Consumer Rights Act."

It provides an example of when this might apply:

"...such as where a customer has paid a legitimate supplier for goods or services but has not received them, they are defective in some way, or the customer is otherwise dissatisfied with the supplier."

Having reviewed all of the evidence available to me, I'm satisfied Mrs S's circumstances amount to a private civil dispute between her and the seller of the bag. I say this because, in line with the above, I'm not persuaded Mrs S has been deceived into making a payment that wasn't for the purpose intended. For Mrs S to have been the victim of an APP scam, she must have been deceived about the very purpose for which her payment had been procured. Here the purpose of the payment was to purchase a second-hand designer handbag as shown in the photographs she reviewed and the video she was sent - and it appears that's what she received.

I've thought carefully about what Mrs S has said about the seller / listing giving the impression that the bag was in a better condition than it was. However, I can't ignore that Mrs S was able to see photographs and a video of the bag before it was purchased. The seller also described it as tarnished. I understand Mrs S feels that this wasn't an accurate description of the condition of the bag. However, this is a dispute between her and the seller. And, even if I were to be persuaded that the seller had misled Mrs S about the condition of the bag, which I'm not, this would ultimately amount to a dispute as to the condition and value of the handbag purchased, rather than an APP scam having occurred.

I want to assure Mrs S that I have carefully considered what she has said about being asked to pay via direct bank transfer rather than via the platform the bag was being sold on, which would have provided her with more protection. I acknowledge what the seller told her about having to pay platform fees was most likely untrue. However, there could be many reasons why the seller required payment via bank transfer and in this particular case, I can't rule out that Mrs S was asked to pay in this way for a legitimate reason. For example, it's possible that the seller requested payment via this method as it meant she would receive the funds immediately rather than having to wait until the bag had been sent. Overall, I haven't been provided with any evidence that persuades me it is more likely than not Mrs S was asked to pay for the handbag by bank transfer because the seller wanted to defraud her of her funds.

Overall, whilst I acknowledge that Mrs S feels the bag sold to her was significantly not as described, I don't think it follows that this means an APP scam has occurred. Even if the seller had misrepresented the condition of the bag, the available evidence still suggests the seller intended to provide the goods purchased. Whilst a misrepresentation may be evidence of a badly run business or poor trading practices, it isn't relevant when considering the seller's intention to act in line with the purpose of the payment as agreed. So, whilst Mrs S may have a genuine dispute with the seller over this, that is primarily a civil and contractual dispute between two parties - for the quality of goods - and this is specifically excluded under the FPS rules.

As NatWest didn't need to consider this as an APP scam then it didn't need to go on to contact the recipient account provider. It didn't need to intervene with the payment either, and, even if it had, I don't think it would have made a difference given that Mrs S appeared to be making a payment in relation to an informal private sale for a second hand item. So, I'm not persuaded NatWest could or ought to have known Mrs S might lose out as a result of the payment she was making. I've seen no other reason to recommend NatWest offer Mrs S a refund of the amount she paid for the bag. I don't think her circumstances meet the high legal bar for this to be a scam and therefore I don't think it was unfair for NatWest to take the view that her circumstances amount to a civil dispute. I won't be asking NatWest to take any further action.

My final decision

My final decision is that I do not uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mrs S to accept or reject my decision before 27 July 2026.

Emly Hanley Hayes
Ombudsman